

How Long Does It Take *to Double Your Money?*

One tiny rule, every major investment, and how to build a mix that actually fits you

I get asked this a lot, so I wanted to put everything in one place. How long does your money actually take to double? It turns out there is one small rule that answers it for pretty much any investment, and once you see it, you start looking at savings accounts, FDs and mutual funds very differently.

This is everything I know about it, written the way I would explain it to a friend. No jargon, no selling, just the numbers and what they mean for you.

THE WHOLE RULE

$72 \div \text{your return}$

WHAT IT COVERS

8 instruments

FASTEST DOUBLE

Equity, ~6 yrs

THE FOCUS

The long game

SLOWEST DOUBLE

Savings, ~24 yrs

WRITTEN FOR

Any age

The one rule that runs all of this

Before we get to the investments, let me hand you the tool that makes the whole thing click. It is called the Rule of 72, and people in banking have used it for longer than any of us have been alive. You take 72, divide it by your yearly return, and you get the number of years your money takes to double. That is the entire trick.

$$\text{Years to double} = 72 \div \text{yearly return (\%)}$$

Say your money grows 8% a year. 72 divided by 8 is 9, so it doubles in about 9 years.

The reason it works is compounding. You do not just earn on the money you put in, you also earn on the returns that money already made. Over time that snowballs, and the Rule of 72 is a quick way to see how fast the snowball rolls.

01

Why it works

Your returns start earning their own returns. That compounding is what doubles the money, and the higher the rate, the faster it builds.

02

The exact version

If you want the precise figure it is $\ln(2)$ divided by $\ln(1 + r)$, where r is your return as a decimal. The shortcut gets you almost the same answer with none of the maths.

03

How close is it

For anything between 6% and 20% a year, the rule lands within a few months of the real number. At 12% it says 6 years, the exact maths says 6.1. Close enough to plan a life around.

Let me show you with real money

Put ₹1,00,000 into something that grows about 12% a year, which is roughly what the Nifty 50 has done over the long run:

- In 6 years it is about **₹2,00,000**
- In 12 years, about **₹4,00,000**
- In 18 years, about **₹8,00,000**

Now the same ₹1,00,000 sitting in a savings account at 3% takes 24 years just for the first double. Six years against twenty four. That gap is the whole reason I care about this stuff, and why I wanted to write it down for you.

THE OPTIONS

1 Every option, side by side

Here are the eight instruments you asked about, with the returns they have historically given in India and how long each takes to double. Notice one thing right away: the fixed ones (savings and FD) get a single number because the bank tells you the rate in advance. Everything else gets a range, because the market never promises a number, it only averages one out over the years.

INSTRUMENT	TYPE	SUGGESTED TENURE	YEARLY RETURN	TIME TO DOUBLE	RISK	WHAT YOU SHOULD KNOW
Savings Account	Fixed	Fully liquid	~3%	~24 yrs	Very low	Great for emergency money, poor for growing it. The interest is taxed, and it usually loses to inflation.
Fixed Deposit	Fixed	7 days to 10 yrs	6.5 to 7.5%	~10 yrs	Low	The rate is locked the day you book it. Insured up to ₹5 lakh per bank. Interest taxed at your slab, and seniors get a little extra.
Debt Funds	Market	1 to 3 yrs plus	6 to 8%	~9 to 12 yrs	Low to mod	Steadier than equity. Since April 2023 the gains are taxed at your slab. Can still beat an FD after tax for some people.
Bonds (govt / corporate)	Market	1 to 40 yrs	6.5 to 9%	~8 to 11 yrs	Low to mod	Government bonds are about as safe as it gets, around 6.5 to 7% on the 10 year. Corporate bonds pay more but carry the risk the company defaults.
Real Estate	Market	7 to 10 yrs plus	6 to 10%	~7 to 12 yrs	Moderate	That is price growth, add another 2 to 3% for rent. Big ticket, slow to sell, and it lives or dies by the location.
Nifty 50	Market	7 yrs plus	10 to 14%	~5 to 7 yrs	High	The 50 biggest companies in India. Bumpy year to year, strong over a decade. Long term gains taxed at 12.5% above ₹1.25 lakh.
Mid Cap	Market	7 to 10 yrs plus	13 to 17%	~4.5 to 5.5 yrs	Very high	Faster growth than large caps, and much deeper falls. Worth it only with a long horizon and a calm head.
Small Cap	Market	10 yrs plus	15 to 20%	~3.5 to 5 yrs	Very high	Doubles the fastest on paper. Also the one that can drop 40 to 60% in a bad stretch. The highest risk on this list.

These are rounded long run figures for India as of August 2026, meant for learning rather than exact forecasts. Your real returns will be different, and equity can lose money over shorter periods.

THE PATTERN WORTH SEEING

As you go down the list, the returns climb and the doubling clock shrinks. But look at the risk column doing exactly the same thing at the same speed. You do not get the higher return for free, you get paid for sitting through the ups and downs. The wider the range, the longer you need to stay put.

BE HONEST ABOUT IT

2 The risk that comes with the return

That doubling time only shows up if you actually stay invested through the messy years. So let me be straight with you about what risk really means here, because it is a lot more than a scary word on a page.

Equity does not go up in a straight line. A fund that averages 12% over fifteen years can still fall 30 to 50% in a single bad year, like it did in 2008 and again in 2020. The average is completely real, but only for the people who do not sell at the bottom. Small and mid caps swing the hardest of the lot.

Then there is timing. If you happen to need the money in the exact year the market crashes, that lovely long term average will not rescue you. This is why the horizon matters more than the headline number, and why I would never put money I need in the next three to five years anywhere near equity.

A few more risks worth keeping in your head:

- **Inflation quietly eats the safe stuff.** At 5 to 6% inflation, a 3% savings account is actually losing you buying power. Doubling your rupees is not the same as doubling what they can buy.
- **Rates move against bonds.** Bond and debt fund prices drop when interest rates go up.
- **Companies can default.** A corporate bond is only as safe as the business behind it.
- **Property is slow.** It can take months to sell a flat at a fair price.
- **Everything in one place is the real danger.** One stock or one property is far riskier than a spread of them.

ON MUTUAL FUNDS

Every mutual fund carries a risk rating, from low to very high, printed right on the scheme page. Check it before you invest. And that line you have heard a hundred times is true: mutual fund investments are subject to market risks, so read the scheme documents before you put money in.

3 Why spreading it out wins

Looking at that table, the obvious move is to throw everything into small caps and double your money in four years. Please do not. That is not a portfolio, it is a coin flip. The smarter play is diversification, and it is the closest thing investing has to a free lunch.

The idea is simple. You spread your money across things that do not all move together, like equity, debt, gold and cash. When one is having a rough year, another is usually holding up, so the overall ride is smoother and you are far less likely to panic and sell at the worst possible moment.

Across types

Hold more than one kind of asset.
Equity for growth, debt for stability,
gold as a cushion, cash for safety.

Within a type

Inside equity, spread across large, mid
and small caps and different sectors.
Inside bonds, across issuers.

Across time

Invest every month through a SIP so
you buy at lots of different prices
instead of betting everything on one
day.

ONE HABIT THAT DOES A LOT

Rebalance once a year. If equity has a great run and grows to 80% of a portfolio you meant to keep at 60%, sell a little and top the safer side back up to your target. It quietly forces you to book profits when things are high and buy more when they are cheap, without you having to guess a thing.

4 What mix fits your age

So how much of this belongs in equity versus the safer stuff? The younger you are, the more time you have to ride out the rough years, so the more equity you can comfortably hold. A simple starting point that has been around forever: take 100, subtract your age, and that is roughly your equity percentage. The rest goes to safer assets. Then nudge it up or down based on how much of a dip you can actually stomach.

$$\text{Equity \%} = 100 \text{ minus your age}$$

If you can sleep through a crash, use 110 or 120 minus your age. If dips keep you awake, take off another 10 to 15%.

First, which one are you?

Careful

Safety comes first. Watching the portfolio drop makes you uneasy, or your goal is close.

Balanced

You want growth but with guardrails. A temporary 15 to 25% dip is fine if the long run is better.

Aggressive

Long runway, steady income, strong stomach. You can sit calmly through a 40% fall for the bigger reward.

A starting point for the mix

These are teaching templates, not instructions. Equity here can be index funds, large cap and diversified funds.

YOUR AGE	CAREFUL	BALANCED	AGGRESSIVE
22 to 30 <i>build phase</i>	Equity 50 · Debt 40 · Gold 5 · Cash 5	Equity 70 · Debt 20 · Gold 5 · Cash 5	Equity 85 · Debt 5 · Gold 5 · Cash 5
31 to 40 <i>grow phase</i>	Equity 40 · Debt 50 · Gold 5 · Cash 5	Equity 60 · Debt 30 · Gold 5 · Cash 5	Equity 75 · Debt 15 · Gold 5 · Cash 5
41 to 50 <i>consolidate</i>	Equity 30 · Debt 60 · Gold 5 · Cash 5	Equity 50 · Debt 40 · Gold 5 · Cash 5	Equity 65 · Debt 25 · Gold 5 · Cash 5
51 to 60 <i>protect</i>	Equity 20 · Debt 65 · Gold 5 · Cash 10	Equity 35 · Debt 55 · Gold 5 · Cash 5	Equity 50 · Debt 40 · Gold 5 · Cash 5
60 plus <i>preserve and income</i>	Equity 15 · Debt 70 · Gold 5 · Cash 10	Equity 25 · Debt 65 · Gold 5 · Cash 5	Equity 40 · Debt 50 · Gold 5 · Cash 5

Splitting the equity slice

Careful equity

About 80% large cap or Nifty 50,
15% mid cap, 5% small cap.

Balanced equity

About 60% large cap or Nifty 50,
25% mid cap, 15% small cap.

Aggressive equity

About 45% large cap or Nifty 50,
30% mid cap, 25% small cap.

PLEASE DO THESE FIRST

A few things come before any of the above, whatever your age. Keep six months of expenses in cash or a liquid fund so you are never forced to sell investments in an emergency. Get health and term life insurance sorted. Never put money you will need in the next three to five years into equity. And remember, a goal that is fifteen years away can hold far more equity than the age rule suggests, because time on your side beats almost everything.

THE SHORT VERSION

5 If you remember nothing else

1. **Doubling time is just 72 divided by your return.** A higher return does not add a little, it shrinks the whole clock.
2. **Fixed things give you a number, market things give you a range.** That range is exactly what you are being paid to sit through.
3. **The fastest double is also the wildest.** Small caps can double in four years or fall in half. Both are true at once.
4. **Beat inflation, not just zero.** A safe 3% that loses to 6% inflation is a slow loss wearing a safe costume.
5. **Spread it out** across types, within types and across time, then rebalance once a year.
6. **Emergency fund and insurance come first,** before you chase a single one of these numbers.

That is the whole thing. I wrote it the way I would explain it to a friend over coffee, because honestly that is all investing is once you strip out the jargon. Save this, send it to someone who needs it, and start whenever you are ready. The best day to begin was years ago. The second best is today.

Abinash

@buildwithabinash

A quick note before you go. I am sharing this to help you think clearly about money, not to tell you what to buy. It is general education, not personal financial advice, and nothing here is a promise of returns. The figures are rounded long run averages for India as of August 2026 and they will change over time, tax rules included. Before you invest, it is worth speaking to a qualified, registered financial adviser who knows your full situation, and a tax professional for anything to do with tax. Your money and your call, just make it an informed one.

WHERE THESE NUMBERS COME FROM

1. Nifty 50 long term returns, Bajaj AMC Knowledge Centre. bajajamc.com/knowledge-centre/nifty-50-historical-returns
2. Indian equities near 16% over 20 years, Business Standard, Aug 2024. business-standard.com/finance/personal-finance
3. Nifty Midcap 150 factsheet, NSE Indices. niftyindices.com
4. Nifty Smallcap historical returns analysis, BMS Money. bmsmoney.com
5. FD rates for August 2026, Zee Business. zeebiz.com/personal-finance
6. India home prices up about 7.7% a year, Business Standard, Aug 2025. business-standard.com/finance/personal-finance
7. India 10 year government bond yield, Trading Economics. tradingeconomics.com/india/government-bond-yield
8. Mutual fund risk rating and investor basics, SEBI Investor portal. investor.sebi.gov.in